

Margin Analysis of Corn in Iowa: Insight Report

1. All 82 counties are projected to lose money in 2025

- Under Heartland cost assumptions, every county in the dataset shows negative per-acre margins.
- The state-wide average loss is approximately **-\$127/acre**, with no county breaking even.
- This indicates a widespread financial stress event affecting the entire Iowa corn sector.

2. The margin decline has been severe and sustained

- Over the 10-year period, average margins fell from approximately **\$267/acre** in 2021–2022 to **-\$127/acre** in 2025; a **\$395/acre reversal**.
- This represents a **147.6% decline** in average profit margins over a decade.
- The trend is consistent across nearly all counties, suggesting structural rather than isolated pressures.

3. Yield is the sole differentiator – but costs and prices are fixed

- Because the analysis applies a uniform cost structure and a fixed harvest price across all counties, margin variation is driven entirely by yield differences.
- The scatter plot of Yield vs Margin forms a perfect straight line, confirming that no county has a cost or price advantage; **only a yield advantage**.

4. County-level disparity is significant

- Taylor County is the worst-hit at **-\$255.02/acre**, while Howard County is the least affected at **-\$30.79/acre**; a gap of over \$224/acre between the best and worst counties.
- This suggests that even within a single state facing uniform cost pressures, operational differences drive substantially different financial outcomes.

5. The dataset has notable limitations

- The analysis uses a cost proxy (Heartland regional average applied uniformly to all counties) and a fixed harvest price (ignoring local basis differences and within-year price volatility). Additionally, only 82 of 99 Iowa counties reported yields for 2025. Government subsidies, crop insurance payments, and other farm income sources are not included. These results should therefore be treated as a directional indicator of relative stress, not a precise forecast of actual farm income.

Conclusion

The analysis reveals a corn sector under unprecedented financial pressure, with all 82 counties projected to lose money in 2025. The 10-year trend line shows a structural deterioration in margins, with no county immune to the squeeze. While yield remains the primary differentiator, the gap between the best- and worst-performing counties highlights opportunities for operational improvement. This analysis provides a clear, data-driven foundation for understanding the magnitude and distribution of financial stress across Iowa's corn-growing regions.